

A nighttime photograph of a coastal city in Iceland, likely Reykjavik. The foreground shows a dense residential area with numerous houses and apartment buildings, many of which have their interior lights on, creating a warm glow. The city is situated along a dark, calm body of water. In the background, a large, rugged mountain range is visible, its peaks and ridges covered in a layer of snow. The sky is a deep, dark blue. A yellow construction crane is visible in the middle ground, its lights illuminating the surrounding area. The word "PAGERO" is overlaid in a large, bold, dark green font in the upper left portion of the image.

PAGERO

Country Compliance Report:

ICELAND

Information class: Restricted



Country Compliance Report: ICELAND

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency, and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency, and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity, and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Iceland which will be used throughout the whole document.

Term	Explanation
Peppol network	Trading parties exchange e-invoices in a predefined format and a predefined method, either directly with each other, or typically, via Peppol Access Points (service providers) that may require certain accreditations
EN16931	a European standard that defines a semantic data model for a core invoice. EN16931 complies with the European Directive on electronic invoicing for public authorities (EN 2014/55 / EU)
ICELAND-INV 18	A project to support the uptake of the European e-Invoicing Standard (EN16931) required by the Directive 2014/55/EU, including both syntaxes (UBL 2.1 and CII), by eight Icelandic public institutions, allowing them to receive and process EN compliant e-Invoices. See more details in section 10.1
Value Added Tax (VAT)	An indirect consumption tax levied on all stages of domestic business transactions, as well as on the imports of goods and services. The tax liability covers all goods and valuables, new and used, all labor and services, regardless of name, except those which are directly exempt from VAT.
Post audit	The post-audit tax regime allows trading partners to exchange e-documents as well as other transactional documents directly with each other, without any real-time or immediate controls performed by the tax office. Even though e-documents are allowed, there are no provisions as to what format, infrastructure, or how they should be created, issued, or distributed. The main requirements on the taxpayers are to ensure document content, integrity, and authenticity, as well as appropriate archiving. The term post-audit stems from the fact that Tax audits can be performed months or years after the transactions originally took place.



2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Iceland including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance and Economic Affairs • Directorate of Internal Revenue • The Financial Management Authority (FJS)/Peppol Authority
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Regulation 505/2013 • Act no 50/1988 • Regulation 50/1993 • Act no 145/1994 • Regulation 44/2019 on electronic billing in public procurement. • Declaration by city of Reykjavík. • Declaration by Icelandic Accounting Authority (FJS). • ICELAND-INV18



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes¹	• Yes
e-Invoicing model	• B2B: Post-audit • B2G: Interoperability/Peppol
e-Invoice definition²	• An invoice that has been issued, sent and received in a systematic, electronic format that allows for automatic and electronic processing.
Scope of taxpayers the e-document mandate applies to	• Mandatory for Issuing: ◦ B2G: All Suppliers to all contracting authorities (non-resident are also included) ◦ B2B: No explicit requirements • Mandatory for Receiving: ◦ B2G: Public authorities to accept e-invoices compliant to EN 16931 • B2B: Buyer's consent required
Mandatory AoR (document response) process	• No explicit requirement.
Implementation / roll-out plan	• Implemented: ◦ All contracting authorities to be able to receive and process e-invoices since 1 April 2019 ◦ All public entities to receive ONLY e-invoices since 1 January 2020 • Since 30 June 2015, the city of Reykjavik only accepts e-invoices

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

The following thresholds apply to the requirement to be registered for an IT number in Iceland:

In general, all foreign companies, domestic companies and self-employed business owners selling taxable goods and services in Iceland need to register their business for VAT. There is however an exemption for small businesses, where if their annual turnover does not exceed ISK 2.000.000 (ca EUR 14.400), they can omit the registration.

VAT registered businesses with changes to their operations (e.g. starts a different activity or it ceases operations subject to VAT) must notify the Director of Internal Revenue within eight days. Businesses may be deregistered if they fail to inform the Director of Internal Revenue.

IT number format: Five digits e.g. 12345

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Buyer's consent is required, however, can be as a tacit acceptance or by paying the invoice

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed

- No transition period requirement. Parallel invoicing is not allowed.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Strongly recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• The use of an Electronic bookkeeping system

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Iceland has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• PEPPOL-BIS 3.0	• N.a
Other document format(s) commonly used for exchange between trading parties	• N.a	• PDF
Mandated platform(s) required to have connection with for e-document processing	• There is no mandatory platform for invoice submission but suppliers can choose one of the available options for the mandatory submission of the invoices which include: For e-invoices in the structured format: ○ Peppol ○ The Service providers solution platforms • For manual upload of e-invoices • Skuffan	• N.a

	The city of Reykjavík has its own manual portal. reykjavik-billing	
Other platform(s) relevant for e-document processing	N.a	Service providers solutions platforms (4-corner model framework)
Schematron(s), XSD schema or other official mechanisms ensuring document content	Peppol BIS 3	N.a
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	- Major Public buyer IDs can be found here - The city of Reykjavík recommends the use of GLN number. List of the city's major institutions and their GLN ID numbers.	N.a
Other technical aspects	N.a	N.a

5.2. Communication with the mandatory platforms

Regulations in Iceland foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	- B2B: No explicit regulations - B2G: Allowed, automated transmission via, e.g. service provider or Peppol.
Manual	<u>Web portal</u> - B2B: Allowed via any third party-portal - B2G: Allowed via the government web portal <u>Email</u> - B2B No explicit regulations - B2G: Not allowed
Other options	N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

B2B invoicing:

There are no explicit technical process requirements on e-invoice issuance in Iceland. B2B e-invoicing follows the post-audit model, where:

- (1) Documents are exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences
- (2) The key requirements are to ensure the country-specific document content, document integrity, and authenticity, as well as archiving requirements
- (3) Neither document format nor exchange mechanism is regulated.

B2G invoicing:

In Iceland, government agencies accept only e-invoices that comply with the TS-236 technical specification that is published by Icelandic Standards, which defines the Peppol BIS Billing 3.0 as the relevant CIUS for compliance to the EN 16931 in Iceland.

The Icelandic government neither mandates nor recommends any e-Invoicing service provider or the use of a particular e-Invoicing platform. Economic operators can either connect to the Peppol network or use e-Invoicing service providers such as Pagero.

According to the instruction for sending invoices to the government by Financial Management Authority (FJS), there is no explicit requirement to use mandatory infrastructure when invoicing the government. Suppliers can use their billing systems if they can issue a compliant e-invoice or, the suppliers can use the services of service providers. Invoices are also accepted through the Peppol network.

Additionally, the Financial Management Authority (FJS) provides [a web portal](#) where e-Invoices can be sent manually to all government organizations. The city of Reykjavík has its own manual portal. [reykjavik-billing](#)

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

There are no explicit requirements for the issuance of cross-border invoices.

5.4. Reception and validation process

This section describes the document reception, validation, and acceptance processes from the buyer perspective.

In Iceland, there is no explicit requirement on the Recipient (B2B or B2G) to provide to the Supplier confirmation/notification that an invoice has been received.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

B2B invoicing:

No explicit requirements on the B2B side. See [section 5.3.1](#) above

B2G invoicing:

The same process of document issuance applies to receiving e-documents. i.e., use of the Peppol network, or agreement with service providers for e-invoicing solutions. See [section 5.3.1](#) above.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

There are no explicit requirements for the receipt of cross-border invoices.

5.5. AoR (response) process

There are no explicit requirements for Approve or Reject response messages.

5.6. Governmental validations

Some tax regimes require businesses to send tax documents to a predetermined hub before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

No mandatory infrastructure validation takes place in Iceland. The e-invoices that are not compliant with the [TS-236 technical specification](#)⁴ that is published by Icelandic Standards, will be rejected by the government entity buyers.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

The invoice copies must be marked “copy”. In Icelandic “afrit”.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax

⁴ TS-236 is a technical specification that implements Peppol BIS Billing 3.0 in Iceland which contains national specifications that support Icelandic VAT invoice legislation and national business practices.

Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	No explicit requirements
Pull communication	No explicit requirements
E-mail distribution	See section 5.3.1 and 5.4.1
Webportal⁵	See section 5.3.1 and 5.4.1
Scanning inbound invoices	No explicit requirements
Scanning outbound invoicing	No explicit requirements

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Where the customer paid a higher amount than the invoice amount, this is a mere payment error so no document requirement for VAT purposes.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note

⁵ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

Other scenarios with different correction option	• Credit note
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	Not allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	Allowed provided the authenticity of the provider and the integrity of the content is guaranteed
Whether any conditions apply, and which, to the dematerialisation	No
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	Allowed provided the authenticity of the provider and the integrity of the content is guaranteed
Whether any conditions apply, and which, to the materialisation	No

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

No explicit processes are described in a case that there is down time on the government invoices receiving capabilities.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Credit / debit note
Documents mandatory for issuance by buyer	• No, however, the governmental buyers can send a receipt of payments in XML and PDF if requested by the suppliers

Item	Commentary
Self-billing allowed	• No
Simplified invoice allowed	• No

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• No
Allowed to start a new sequential numbering every year	• Yes

Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

No explicit requirements.

6.3. Indirect tax (IT)⁶ rates

This section illustrates the applied IT⁷ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
24%	Standard	All other taxable goods and services.
11%	Reduced	Rental of hotel rooms, guest rooms, and other accommodation Sale, including subscription, of newspapers, periodicals, countryside and district newspapers and books, both hard copies and electronic copies The services of travel agents
0%	Zero	Export of goods and services Travel agency services Transportation of passengers to and from the country Sales of services to foreign fishing vessels landing fish in Iceland
	Exempt	Financial services Insurance sector Lease of residential property Healthcare services Social services Educational services Real estate transactions Specified cultural and sporting events Public transport Postal services Lotteries and betting pools

⁶ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁷ Local name Virðisaukaskattur

	Activities of authors and musical composers
	Funeral services

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Iceland. Please note that other additional content requirements might apply in addition, i.e. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No
Sequential numbering	• Yes
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes
IT identification number of the supplier in the country of establishment	• Yes
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes
Legal form of the supplier	• Yes
Trade register number of the supplier	• Yes
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No

Other supplier data	• No
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Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• Yes
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Yes
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No
Shipped to location (for the supply of goods)	• No
Status of the goods (e.g. in bond, in free circulation)	• No

Incoterms	• No
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• No
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• Only the total VAT amount must be in ISK, but if they are in other currency than ISK the invoice must show the exchange rate.
Exchange rate (if the invoice is not issued in the local currency)	• Yes.
Which exchange rate must be applied in order of priority	• Buy rate according to the Central Bank of Iceland on the date the invoice is issued.
Terms of payment	• No
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• No specific reference, the invoice must just state that the sale is exempt, subject to zero tax.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply – article 138 VAT Directive"; - "Exempt export – article 146 VAT Directive"; - "simplification for triangular sales – article 141 VAT Directive"	• N.a

- "Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme – travel agencies', 'margin scheme – second hands goods', if applicable	• No
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• No
Maximum amount for simplified invoices	• N.a
Other supplies for which a simplified invoice can be issued	• N.a
Simplified invoices limited to certain type of supplies	• N.a
Simplified invoices not allowed for certain transactions	• N.a
Minimum content requirements on a simplified invoice	• N.a
Invoices subject to the national invoice requirements (not self-bills)	• N.a
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Iceland a credit/ debit note must be issued as rectification documents. A credit/ debit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number and date.
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No, but recommended
Reason for credit required	• Yes

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• No

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

Additional elements on top of the EN standard minimum requirements can be used.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements if attached	• QES • AES • Advanced electronic seal

Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property⁸	• 7 years
Start point of retention period calculation for invoices not related to immovable property	• after the closing of the relevant fiscal year
Retention period for e- invoices related to immovable property	• 20 years
Start point of retention period calculation for invoices related to immovable property	• after the closing of the relevant fiscal year
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 20 years

⁸ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• after the closing of the relevant income year
Outsourced archiving	• Allowed
Archiving abroad⁹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Yes • Electronic data shall be always accessible by the authorities.¹⁰
Other requirements in relation to electronic document retention	• No • There is no obligation to use a certified software to archive invoices or other tax records. If an electronic accounting software is used, information about the software, how it works and on the controls it has to offer to reconcile, verify, and manage the processing of data and audit should be made available.

⁹ In certain situations, or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

¹⁰ According to Deloitte's interpretation of article 20 of act. 145/1994 on bookkeeping and in-depth conversations with the Icelandic tax authority, it is allowed to store electronic invoices abroad if full access online is assured.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.7 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No
Transportation documents	• No explicit requirements
Other	• No



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

The Iceland INV-18 Project:

The project started in 2018 and the Implementation schedule was planned from April 2019 to January 2021. As of January 2021, participants in the Iceland INV-18 project. Namely: 3 municipalities (Reykjavík, Grímsnes og Grafningshreppur, and Skeiða- og Gnúpverjahreppur), 1 city (Akureyri), the Icelandic post, the Reykjavík Social Housing, and two energy companies (Orkubú Vestfjarða ohf and Orkuveita Reykjavíkur) will prepare their ERP (Enterprise Resource Planning) systems to integrate Peppol e-Delivery Access Points and SMP registry services (belonging to UNIMAZE) to allow for the cross-border invoice transmission. The aim of the project is to enhance the cross-border e-Invoicing B2G transactions in Europe and in Iceland, by contributing to the deployment of both the e-Delivery and the e-Invoicing Building Blocks.

Further, a central validation service for Icelandic standards will be set up to allow end-users to validate a compliant EN invoice. The central validation service will be developed according to the Icelandic context and will facilitate the validation of the CIUS (Core Invoice Usage Specifications) adopted in Iceland.

10.2. Indirect tax reports

Value Added Tax (VAT) statements and payment obligations.

Taxable persons are obliged to file an electronic statement and pay VAT after each settlement period.

- VAT Settlement Period: In general, each VAT reporting period is two months, January/February, March/April, May/June, July/August, September/October and

November/December. VAT payment together with a VAT statement must be submitted no later than the due date for payment which is one month and five days after the period has ended. For example, the due date for the January/February payments is 5th of April. If the due date falls on a weekend or public holiday the next business day is the due date.

- Other VAT settlement periods:
 - Annually, i.e. if sales during the calendar year are less than 4.000.000 ISK (was 3.000.000 ISK before January 1st 2017), due date is 5th of February.
 - Six months (Agriculture), due dates are 1st of September, for the period January – June, and 1st of March, for the period July-December.
 - Monthly if input tax is generally higher than output tax because a major portion of the turnover is exempt. The same applies to companies selling goods and services at the reduced rate as most of their inputs into such production or as intermediate inputs are subject to the VAT at the standard rate. Application for a shorter settlement period must be filed at least one month before the beginning of the next period. Due date is one month and five days after the period has ended.
- VAT Statement: Electronic filing of VAT statements is mandatory even if no sales have been made in the relevant period. A few days before the due date RSK sends an e-mail reminder of the upcoming due date of VAT. If a VAT statement is not filed for the period RSK will estimate sales and output tax. An additional surcharge of 5.000 ISK will be added when a VAT statement has been filed instead of an estimate.
- Filing a VAT statement and paying VAT: The VAT statement is filed online at www.skattur.is. Login information is the Icelandic Id. No. (kennitala) and a password, issued by RSK. Required information are total value of goods and services sold (excluding VAT) in each tax rate, and sales subject to the zero rate. Information on total output and input tax are also required. Payment is possible through online banking once the VAT statement has been filed.

Those who do not have access to online banking in Iceland can pay from a foreign bank account. In that case it is necessary to use the following IBAN and SWIFT code. It is important to state the VAT registration number, year, and period in the comments field:

Payment of VAT from a foreign bank account to the Financial Management Authority:

Bank information:

Central Bank of Iceland (Seðlabanki Íslands)
Kalkofnsvegi 1
150 Reykjavík

IBAN: IS48 0001 2602 5203 5402 6964 59

Swift: SISLISRE

Financial Management Authority (Fjárfýsla ríkisins)

- Additional tax and penalties: Late payments of VAT are subject to 1% penalty charge for each day past due date up to a total of 10% (no minimum penalty is stipulated). Tax authorities may, if the company shows sufficient cause, cancel the penalty.

An additional penalty is applied if the VAT is not remitted within a month from the due date. This additional penalty is in the form of late payment interest as determined by the Central Bank of Iceland (Seðlabanki Íslands).

An additional surcharge of 5.000 ISK will also be added when a VAT statement has been filed instead of an estimate.

- Appeals: Value Added Tax along with a Value Added Tax return shall be turned in no later than on the fifth day of the second month following a settlement period for transactions during that period. The Director of Internal Revenue assesses the Value Added Tax of a registered party for each settlement period. The Director of Internal Revenue shall furthermore estimate tax of those parties that do not send in returns within a required deadline, send no returns or if a return or accompanying documents are incomplete.

The Director of Internal Revenue's assessment of Value Added Tax may be appealed to him within 30 days from the date the tax has been decided. The same applies to decisions concerning registration in the Value Added Tax registry, deregistration, and changes to the registration of a taxable party.

The appeal period commences when the taxable party is notified of the tax assessment. When a Value Added Tax is decided upon without a special notice to the taxable party the appeal period commences on the due date for the settlement period the decision concerns. Appeals shall be in writing and reasoned. An adequate Value Added Tax return shall be viewed as an appeal in those cases when the Directorate of Internal Revenue has estimated the taxable party's Value Added Tax."

The Director of internal Revenue's verdict concerning an appeal, registration, deregistration, or changes to the registration of a taxable party, may be appealed to the Internal Revenue Board. The Internal Revenue Board provides information on the appeals process. The deadline for submitting an appeal is three months from the date of the decision letter. The offices of the Internal Revenue Board are located at Borgartún 21, 105 Reykjavík, Iceland. The appeal must be in writing and be reasoned. You must state all the points that you wish to appeal. You need to attach a copy of the verdict that you are appealing, as well as a copy of the particulars of the case as presented to you by the Directorate of Internal Revenue. You must enclose a copy of all the documents supporting your appeal.

10.3. Electronic Accounting

Electronic accounting is accounting, or the part of accounting, based on data and transactions originating from data processing systems and sent between them electronically that are automatically recorded in a separate e-data register.

In Iceland, any party that sells an accounting system for the entry of electronic accounting, including data transfer software, i.e., for the receipt and transmission of messages between data processing systems, shall include the sale with detailed information about the software, how it works, and, on the controls, it has to offer to reconcile, verify, manage the processing of data and audit.

Existing in accounting must be a signed declaration, that the relevant accounting system meets the conditions set by taxpayers, from the seller or designer of the relevant accounting system.

Operators who have an electronic accounting system are authorized to print sales invoices in a copy with conditions to provide written descriptions regarding the organization's electronic accounting practices, means of communicating information and data (especially regarding data transfers, as these should be in a data register), and attributable transactions providing a clear picture of traceability and security.

Further information about electronic accounting:

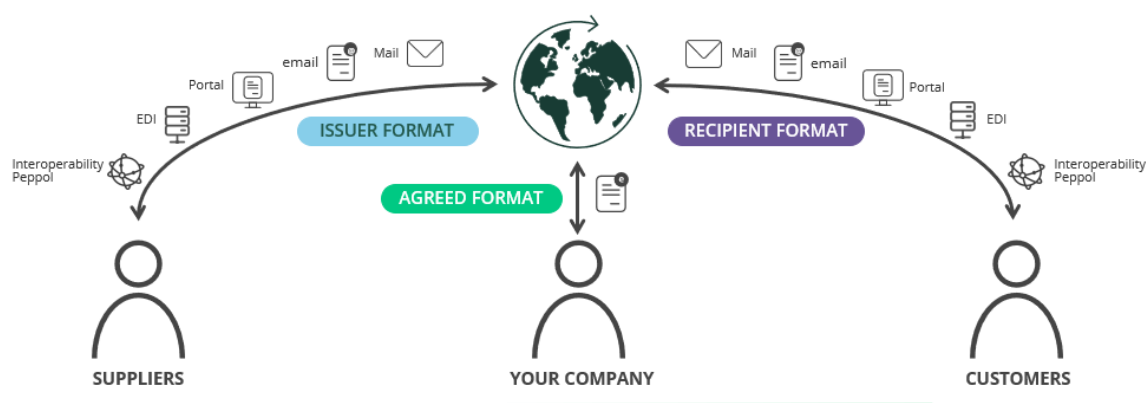
- A sales invoice originating from an electronic accounting system is considered an electronic sales invoice, in the B2B relationship, whether sent to the buyer electronically or printed on paper for a buyer who does not have an electronic accounting system.
- You do not need to apply for permission from the Directorate of Internal Revenue to print an electronic sales invoice on paper in a copy.
- You do not need a pre-numbered invoice form to print an electronic sales invoice on.
- The printed copy of an electronic sales invoice (on paper) shall be carried as its original.
- Signatures or endorsements may be, for example: The invoice is an electronic external source according to Regulation No. 505/2013. The electronic external source material of an invoice constitutes it being original. A document is considered an original invoice if traceability and reliability can be demonstrated. Endorsements/signatures should be printed on the sales invoice on printouts, but not be pre-printed on the invoice form.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) with Pagero

B2B invoicing:



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners

(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms

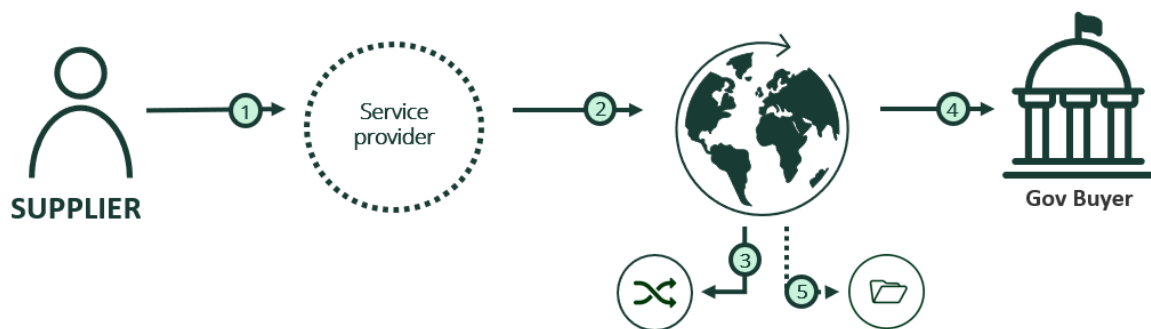
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

11.2. Document reception (AP) with Pagero

B2B invoicing:

Similar to the process of document issuance in the post-audit model. See the graph in section 11.1 above.

B2G invoicing:



- (1)** Supplier provides invoice data to the sending service provider (SSP)
- (2)** SSP/supplier sends the final e-document to PAGERO in a legally predefined format and according to a legally predefined exchange protocol (via Peppol or interop agreement)
- (3)** PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signature validations, etc.
- (4)** PAGERO sends the received e-document to the buying public entity
- (5)** PAGERO archives all relevant document on behalf of the buyer



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
28 May 2021	• Document created
14 June 2021	• Section 5: Removed charts to a step-by-step description
24 August 2021	• Section 11: Amended the flow charts
24 September 2021	• Section 11: Amended the flow charts • Section 4.1: Amended IT registration
01 July 2022	• General review and content update